Board of Education
Board of Education Fall Retreat
12/11/2025 5:00 PM
Lincoln Center

1. **Call to Order**

2. **CHCCS Enrollment Trends and Demographic Shifts and Academic Return on Investment**

   a. CHCCS Enrollment Trends and Demographic Shifts and Academic Return on Investment
      - Board Retreat Presentation Deck 12.11.2025 (Final)v2.pdf

3. **Adjourn**

Note: Times listed are approximate. Speakers and presenters are encouraged to arrive early, as the Board may progress through the agenda more quickly than expected.

COMPLIANCE WITH THE AMERICANS WITH DISABILITIES ACT - Interpreter services are available for non-English speakers and individuals with hearing impairments upon request. Please provide advance notice by contacting Sandra Pereira at ext. 20324 or translation@chccs.k12.nc.us.

Board of Education Agenda Abstract

Meeting Date: December 11, 2025
Agenda Type: Board of Education Retreat

Subject: CHCCS Enrollment Trends and Demographic Shifts and Academic Return on Investment

Division:	Superintendent's Office	**Department:**	Superintendent's Office
Person Responsible:	Dr. Rodney Trice, Superintendent	**Feedback Requested From:**	Members of Cabinet

Strategic Plan Alignment: Equitable and Transparent Fiscal Stewardship and Operations

Previous Work Session (Y/N): Yes Date:
Previous Discussion and Action (Y/N): Date:

Attachment(s):
Board Retreat Presentation Deck 12.11.2025 (Final)v2.pdf

PURPOSE:
To provide the Board with a strategic understanding of declining enrollment and long-term financial impacts while introducing the AROI framework to guide future decisions on resource alignment and district sustainability.

BACKGROUND:

The 2025 Board of Education Winter Retreat is designed to provide a focused and strategic exploration of two critical issues shaping the future of Chapel Hill-Carrboro City Schools: the district's declining student enrollment and the need for greater alignment between resources, outcomes, and long-term sustainability. The retreat brings together the Board and Cabinet to build shared understanding, engage in structured analysis, and provide direction on next steps that will influence district planning over the next several years.

The first segment of the retreat centers on enrollment trends and demographic shifts, with Carolina Demography presenting the most up-to-date projections for the Chapel Hill–Carrboro community. This session is followed by an overview of the district's five-year financial outlook, illustrating the impact of declining ADM and state funding on CHCCS. Together, these presentations are intended to establish a common fact base and frame the magnitude of the fiscal and operational challenges ahead.

The second segment of the retreat introduces the Board to the district's emerging Academic Return on Investment (AROI) framework. This framework is designed to help CHCCS better understand the relationship between programmatic investments, student outcomes, and strategic priorities. Through a brief overview and two facilitated activities, Board members will practice applying AROI concepts to

real CHCCS programs, focusing on building a shared language around impact, equity, sustainability, and strategic decision-making. These activities emphasize understanding, rather than decision-making, and model how AROI will support future district-wide program reviews.

Taken together, the retreat is intended to support the Board in clarifying the values, questions, and strategic levers that should guide CHCCS as it navigates declining enrollment while positioning the district to remain innovative, nimble, and student-centered. The retreat provides the foundation for informed governance decisions in the months ahead. It sets the stage for long-term planning aligned to both fiscal realities and the district's aspirations for excellence.

Date(s) of Previous Appearance on Board Agenda under Work Session:

- March 14, 2024 (AROI)
- October 9, 2024 (Enrollment)

FINANCIAL IMPACT:
N/A

PERSONNEL IMPACT:
N/A

SUGGESTED ACTION:

RESOLUTION:

Welcome

Board of Education Winter Retreat

Riza Jenkins, Board Chair
Rodney Trice, Superintendent

Thursday, December 11, 2025
Lincoln Center

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THINK (AND ACT) DIFFERENTLY



Table Discussion

1. What did you find most compelling or troubling in the article?
2. What systemic issues, beyond COVID, does it highlight?
3. Where do you see parallels in CHCCS?
4. What does the article challenge us to rethink about teaching, learning, or leadership?

Whole Group Share-Out

- Share one big takeaway.

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CHCCS Enrollment & Demographic Trends

Dr. Nathan Dollar, Director

Carolina Demography

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Five-Year Financial Outlook

Impacts of Declining ADM and State Funding

Jonathan Scott

Chief Financial Officer

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Enrollment Backdrop: Projections

Fiscal Year	ADM	YoY Change (ADM)	YoY Growth (%)
FY 2027	10,502	(256)	-2.38%
FY 2028	10,225	(277)	-2.64%
FY 2029	9,988	(237)	-2.32%
FY 2030	9,725	(263)	-2.63%
FY 2031	9,535	(190)	-1.95%

- Average projected annual decline in ADM over the next 5 years: -2.4%
- Based on current cohorts, that would amount to an over 1,200 ADM reduction in the next 5 years

**Enrollment projections were prepared by Business and Financial Services prior to receiving Carolina Demography's final data.

State Funding in Arrears Model

Fiscal Year	Projected/Actual Enrollment	Funded Enrollment ("Funding in Arrears")
2025	11,065	
2026	10,758	11,065
2027	10,502	10,758
2028	10,225	10,502
2029	9,988	10,225
2030	9,725	9,988
2031	9,535	9,725

- All North Carolina public school units now operate under a **Funding in Arrears model**.
- Funding is based on the **Best one of two Average Daily Membership (ADM)** from the **prior fiscal year**.
- This ensures **accuracy, equity and stability** in funding.

Five-Year State Funding Outlook: Trends & Projections

	FY 2027 Projected	FY 2028 Projected	FY 2029 Projected	FY 2030 Projected	FY 2031 Projected
Total State Revenues	**87,330,188**	**88,598,653**	**89,639,068**	**90,996,940**	**92,065,855**
YoY Growth in Revenues (%)	*1.03%*	*1.45%*	*1.17%*	*1.51%*	*1.17%*
State Funding per Pupil	8,356	8,690	9,038	9,400	9,776
YoY Growth (%) per pupil	*4.00%*	*4.00%*	*4.00%*	*4.00%*	*4.00%*
Total State Expenditures	**89,895,528**	**93,491,349**	**97,231,003**	**101,120,243**	**105,165,053**
YoY Growth in Expenditures (%)	*4.00%*	*4.00%*	*4.00%*	*4.00%*	*4.00%*
Estimated Reduction in State Funding for ADM Loss at Current Staffing Levels	**(2,565,340)**	**(4,892,697)**	**(7,591,936)**	**(10,123,304)**	**(13,099,198)**

- The **cumulative reduction in state funding over the next five years is estimated at $38.3 million**.
- Revenues are projected with a **4% annual per-pupil increase**, then **discounted for ADM losses**, lowering net funding.
- Expenditures are escalated at **4% annually** to reflect mandated salary increases and **assume current staffing levels are maintained despite declining ADM**.

Local Funding Trends & Five-Year Projections

	FY 2026 Projected	FY 2027 Projected	FY 2028 Projected	FY 2029 Projected	FY 2030 Projected	FY 2031 Projected
Total Local (Fund 2) Revenues	**95,695,444**	**98,566,307**	**101,523,297**	**104,568,995**	**107,706,065**	**110,937,247**
YoY Growth in Revenues (%)	*2.65%*	*3.00%*	*3.00%*	*3.00%*	*3.00%*	*3.00%*
Local (Fund 2) Funding per Pupil	8,895	9,385	9,929	10,469	11,075	11,635
YoY Growth (%) per pupil	*5.58%*	*5.51%*	*5.79%*	*5.44%*	*5.79%*	*5.05%*
Total Local Expenditures	**92,824,581**	**96,537,564**	**100,399,066**	**104,415,029**	**108,591,630**	**112,935,295**
YoY Growth in Expenditures (%)	*-0.04%*	*4.00%*	*4.00%*	*4.00%*	*4.00%*	*4.00%*
Local Expenditures per Pupil	8,895	9,385	9,929	10,469	11,075	11,635
YoY Growth (%) per pupil	*-0.57%*	*5.51%*	*5.79%*	*5.44%*	*5.79%*	*5.05%*
Local Rev - Exp (Fund Balance Impact)	**2,870,863**	**2,028,743**	**1,124,230**	**153,966**	**(885,565)**	**(1,998,048)**

- County revenues continue to grow at **3% annually**.
- Local expenditures are increasing at **4% annually**.
- FY 2026 reflects a projected **3% underspend**, adding approximately **$2.9 million** to fund balance.

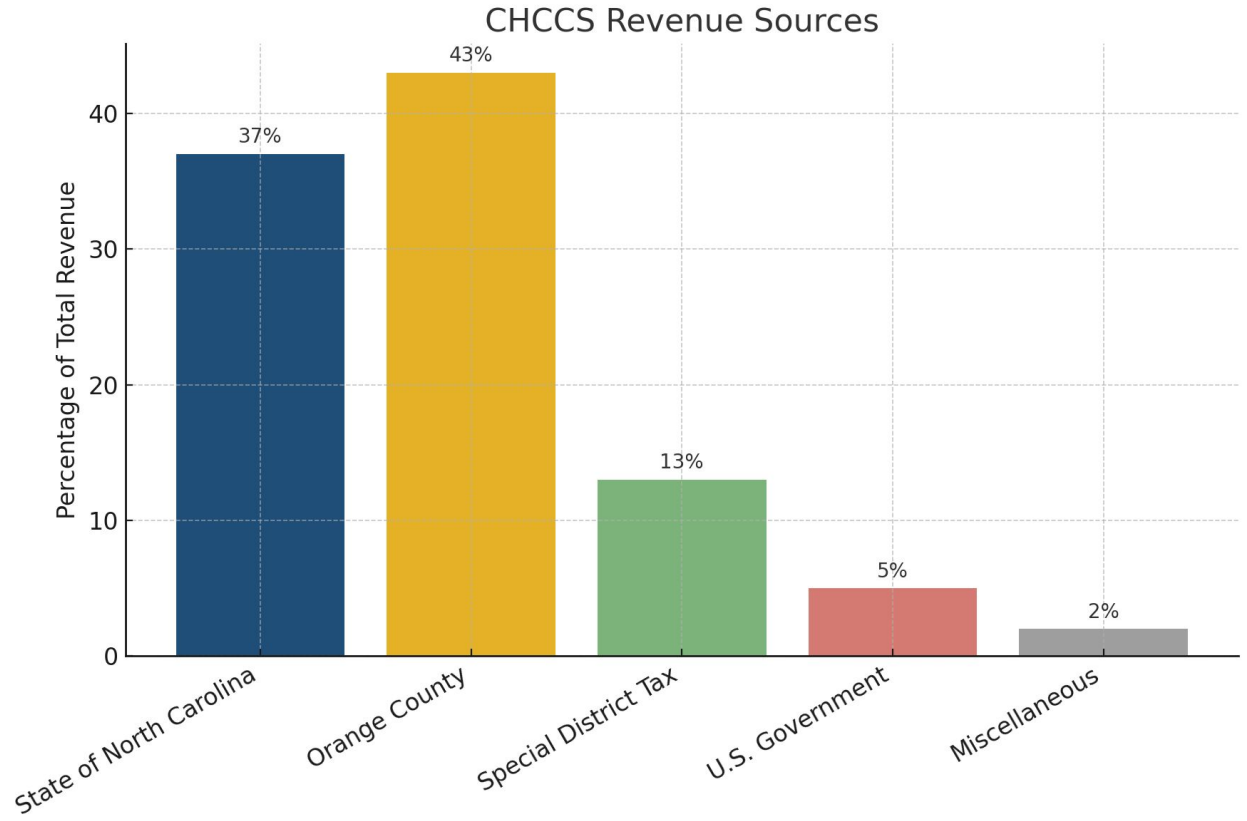
The Bigger Picture: Local Funding Impact

	FY 2026 Estimated	FY 2027 Projected	FY 2028 Projected	FY 2029 Projected	FY 2030 Projected	FY 2031 Projected
Estimated Reduction in State Funding for ADM Loss at Current Staffing Levels		(2,565,340)	(4,892,697)	(7,591,936)	(10,123,304)	(13,099,198)
Local Rev - Exp (Fund Balance Impact)	2,870,863	2,028,743	1,124,230	153,966	(885,565)	(1,998,048)
Total Local Impact Expected		**(536,597)**	**(3,768,466)**	**(7,437,969)**	**(11,008,869)**	**(15,097,246)**
Cumulative Impact		**(536,597)**	**(4,305,063)**	**(11,743,032)**	**(22,751,901)**	**(37,849,147)**

- Even without the decline in State funding, the **local impact of the RIF would be fully absorbed by FY 2030** based on current trends.
- When factoring in the State funding decline, the RIF impact, and prior fund balance gains, the district would **fully exhaust these resources by FY 2028**.
- Combined, these pressures **result in a projected five-year deficit of $(37.9 million)**.
- These projections **assume current staffing levels are maintained despite declining ADM**.

CHCCS Revenue Sources - FY 2025

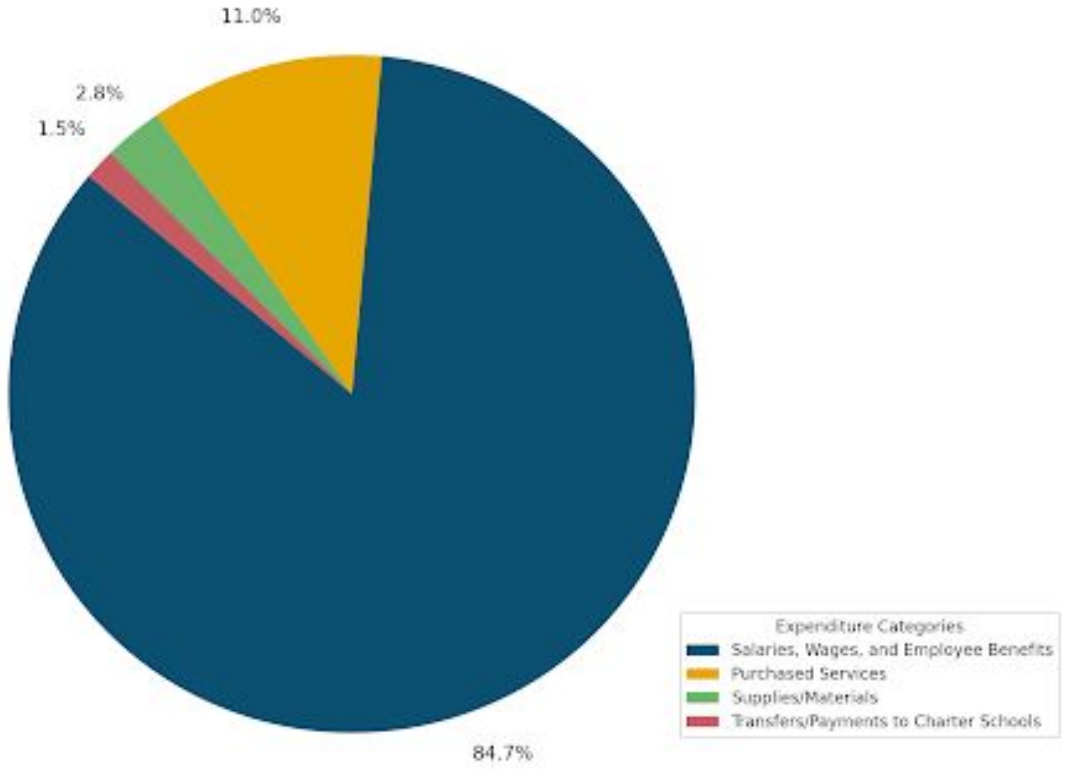
- **State of North Carolina:** 37%
- **Orange County:** 43%
- **Special District Tax:** 13%
- **U.S. Government:** 5%
- **Miscellaneous:** 2%



Data Source: CHCCS Audited Financial Statements (FYE 6/30/25)

Local Expenditures by Type - FY 2025

- **Salaries, Wages, and Employee Benefits:** $78.7M
- **Purchased Services:** $10.2M
- **Supplies/Materials:** $2.6M
- **Transfers/Payments to Charter Schools:** $1.4M



Data Source: CHCCS Audited Financial Statements (FYE 6/30/25)

Strategic Budget Levers for a Thriving Future

Rodney Trice
Superintendent

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Strategic Budget Levers

Purpose of Strategic Budget Levers

- Set direction for how CHCCS navigates current and future challenges
- Focus on strategic lever categories, not individual actions
- Ground our work in shared values: equity, sustainability, excellence
- Position CHCCS to thrive in a changing educational landscape

Budget Lever Categories

- Organizational Structure — How we align roles, teams, and responsibilities
- Resource Allocation — How we deploy funding, staffing, and time
- Operational Efficiency — How we optimize systems, facilities, and operations
- Innovation & Reinvestment — How we build future-ready models that elevate opportunity and enrollment

Organizational Structure

How the district organizes people, roles, and decision-making to serve students effectively.

- **Short-Term (0–12 months):**
  - Targeted adjustments to roles and responsibilities
  - Addressing duplicative functions or vacancy freezes

- **Transitional (12–24 months):**
  - Realigning central office, restructuring teams, adopting regional staffing models

- **Long-Term (24–36 months):**
  - Full structural redesign to match smaller district size
  - Sustainable models for staffing, compensation, and leadership pathways

Why it matters: A well-aligned structure improves responsiveness, strengthens instructional support, and ensures sustainability as the district adapts to new realities.

Resource Allocation

How the district distributes funding, staffing, and time in ways that reflect district values and priorities.

- **Short-Term (0–12 months):**
  - Immediate A-ROI program assessments
  - Reallocating low-impact spending

- **Transitional (12–24 months):**
  - Adjusting staffing formulas and allotment rules
  - Consolidating or redesigning small, overlapping programs

- **Long-Term (24–36 months):**
  - A fully redesigned resource allocation model grounded in equity and sustainability
  - Multi-year reinvestment strategies tied to Board priorities

Why it matters: Thoughtful resource allocation enables CHCCS to protect essential student services, deepen equity, and make strategic trade-offs during budget constraints.

Operational Efficiency

How the district manages facilities, transportation, technology, and services to optimize value and reduce waste.

- **Short-Term (0–12 months):**
  - Space audits, transportation routing updates
  - Cost reductions in subscriptions, supplies, and non-personnel contracts

- **Transitional (12–24 months):**
  - Boundary adjustments, grade reconfigurations, or partial building consolidation
  - Standardizing operations across departments

- **Long-Term (24–36 months):**
  - Strategic facility consolidations or repurposing
  - Long-term operational efficiencies (green energy, fleet transitions, smart buildings)

Why it matters: Operational improvements can generate significant savings without diminishing student experiences, freeing resources for instruction and innovation.

Innovation & Reinvestment

How CHCCS prepares for the future by investing in modern learning models and programs that strengthen student engagement and enrollment.

- **Short-Term (0–12 months):**
  - Enrollment campaigns and pilot partnerships
  - Small-scale program redesigns or pauses

- **Transitional (12–24 months):**
  - Strengthening dual-language, Pre-K, CTE, STEM, or magnet pathways
  - Regionalizing specialized services

- **Long-Term (24–36 months):**
  - Portfolio redesign: creating “signature pathways” across the district
  - Reinvestment into models that define CHCCS identity and competitive advantage

Why it matters: Innovation ensures the district remains competitive, relevant, and responsive to the community, fueling both student success and long-term enrollment stability.

Which Factors Feel Most Urgent Right Now?

- Enrollment trends
- Budget pressures
- Community expectations
- Staff capacity
- Equity commitments

Board ReflectionDiscussion Questions

- After hearing the enrollment data, financial outlook, and strategic budget levers, what initial reactions or reflections would you like to share as we begin this multi-year planning process?
- What guidance would you offer the administration as we begin evaluating long-term facility usage in light of the enrollment projections shared tonight?
- What direction does the Board want to provide regarding the development of a comprehensive long-term staffing and budget plan aligned to our five-year enrollment trajectory?
- What values and principles should guide the administration's decision-making as we navigate the budget implications of declining enrollment?

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AROI Framework

What It Is and Why It Matters

Al Ciarochi, Deputy Superintendent of Operations

Jonathan Scott, Chief Financial Officer

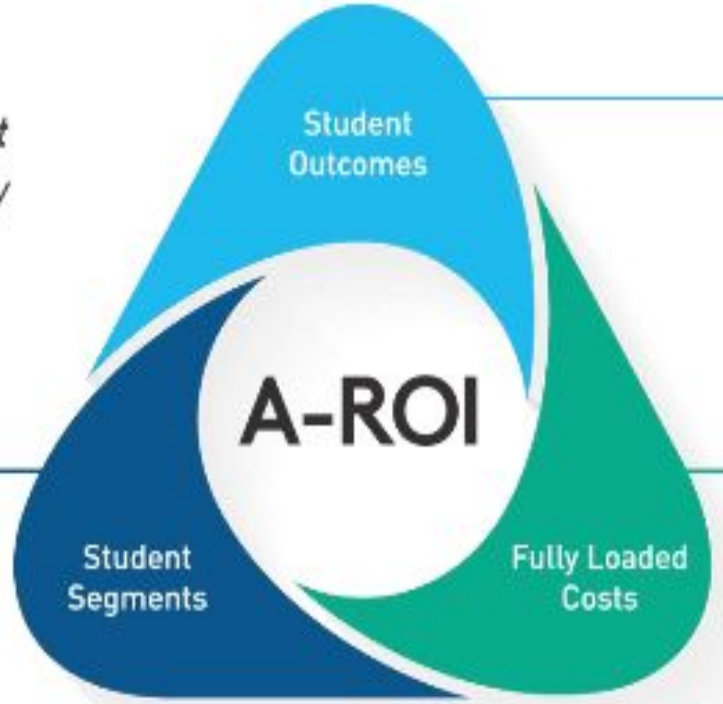
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The Challenge: Identifying Investments That Improve Student Outcomes



Evaluating Impact, Student Reach, and Cost for Better Decisions

Academic-ROI analysis involves the interplay of three components: student segments, student outcomes, and fully loaded costs



Analyze achievement by:

- Mastery of learning objectives
- Growth over time

Analyze students by:

- Educational need
- Specific, actionable grouping

Analyze costs by:

- Direct and indirect costs
- Cash and time

Is this initiative effective? Which students benefit? And at what cost?

What Is A-ROI and Why It Matters

What Is A-ROI?

- A structured method for evaluating the academic impact of district programs relative to their cost.
- Helps identify which investments produce the greatest learning gains per dollar.
- Provides a transparent, data-driven approach to budgeting and resource allocation.

Why A-ROI Matters

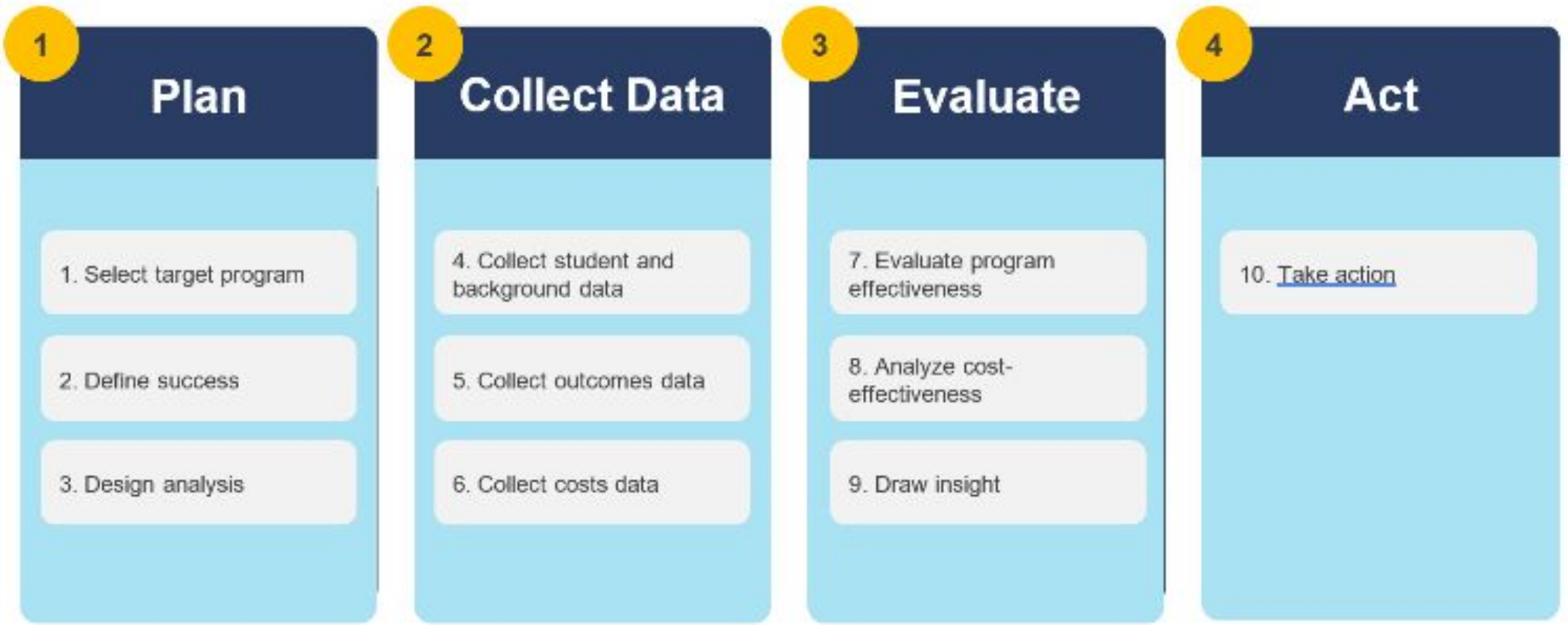
- Ensures resources are aligned with student outcomes, not historical patterns.
- Supports equitable decision-making by highlighting which programs most benefit high-need student groups.
- Creates a consistent framework for evaluating impact, scale, and cost-effectiveness.
- Helps the Board make strategic, not across-the-board, funding decisions.

What A-ROI Is Not

(Clarifying Common Misconceptions)

- **Not a mechanism to cut programs automatically.**
  - A-ROI highlights where investments are strong or need refinement, **not** where cuts must occur.
  - Identifies strengths and areas for refinement
  - May inform reallocation, not automatic reductions
- **Not purely a financial exercise.**
  - Student outcomes drive the analysis
  - Cost is considered only in relation to academic impact
- **Not a judgment of staff performance.**
  - Focuses on program effectiveness, not individuals
  - Recognizes that many factors influence outcomes
- **Not the only factor in decision-making.**
  - Leaders also consider **equity, context, mission, and legal requirements**.
  - Leaders also weigh equity, context, mission, and legal requirements
  - A-ROI is one tool among several in strategic planning

A-ROI Process



Program Evaluation Approaches



Looks at: Existing Programs

Asks: What results have we seen in the past from this initiative?

Example: *Did introducing a new co-teaching structure improve outcomes for students with mild-to-moderate disabilities?*

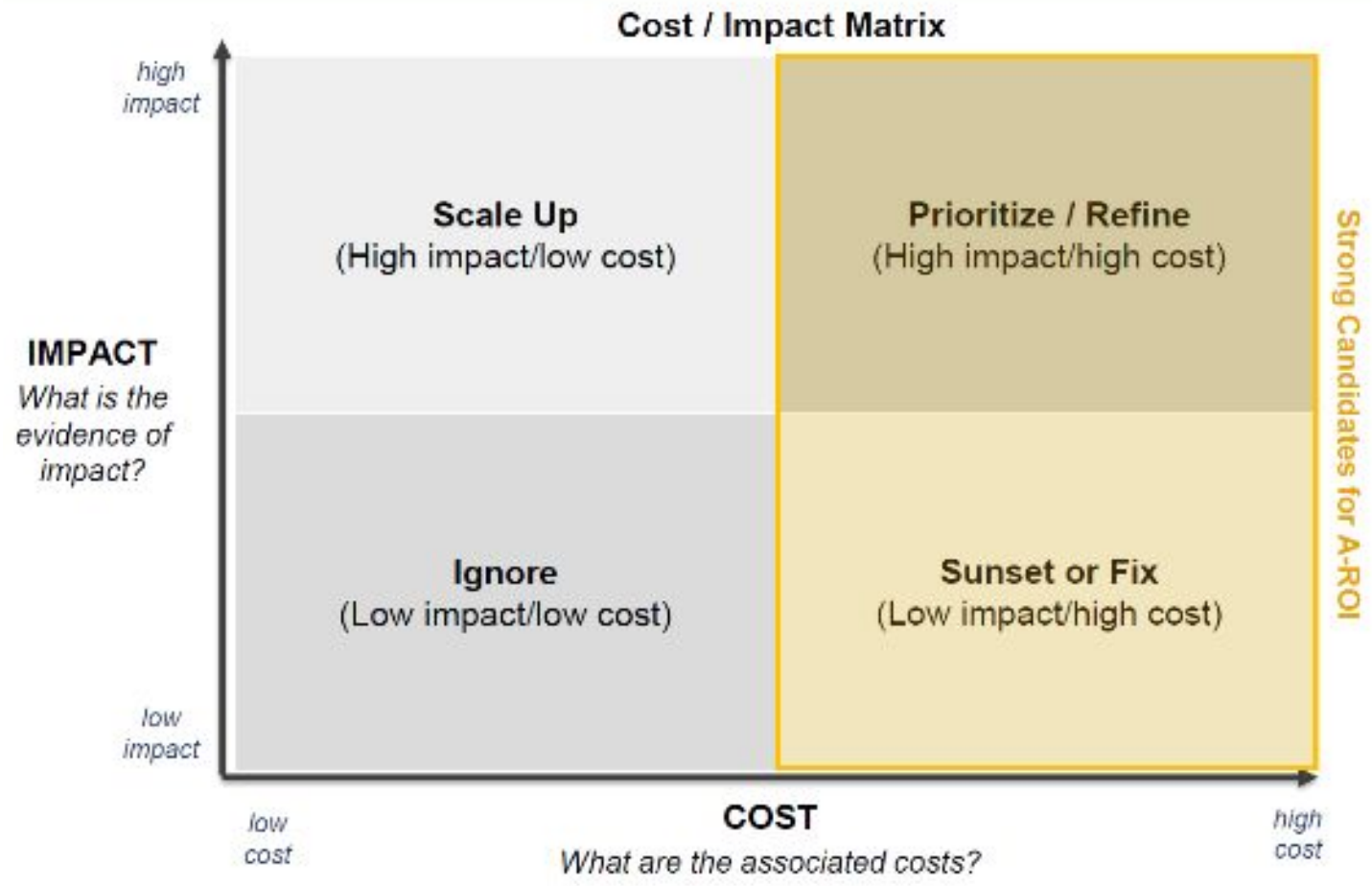
Looks at: Proposed Programs

Asks: What will the results of this program be?

Example: *Will updating our classroom technology lead to better outcomes for students in high school language classes?*

Visualizing A-ROI *(costs vs. outcomes)*

- Shows programs by **student impact** and **cost** to reveal academic return on investment.
- Highlights **high-impact, cost-effective** programs to sustain or scale.
- Flags **high-cost, low-impact** programs for further review.
- Provides a **clear, data-driven tool** to guide strategic and equitable resource decisions.



A-ROI Provides Deeper Insights for Strategic Decisions

Most districts today

Keep

Nearly every program is kept as is.

Eliminate

Rare, usually due to departure of key program advocates.

Districts with A-ROI capabilities

Expand: Highly cost-effective programs that increase student learning should be expanded.

Keep: Cost-effective and successful programs in their current scope should be kept as is.

Segment and Target: Programs that are successful only for some segments of the student population.

Reduce: Expensive programs with some successes should be reduced to keep only the crucial portions.

Fix: Programs with limited success that could increase success if structural or systemic problems were fixed.

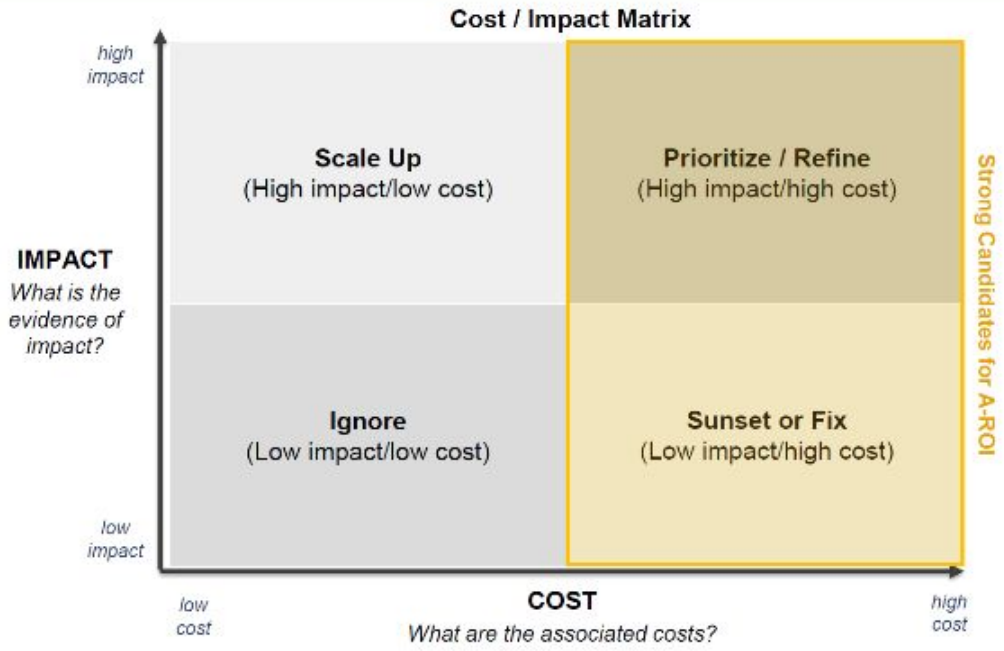
Eliminate: Programs that prove to be either ineffective or cost-ineffective should be eliminated to release funds.

Program Reviews

This is not about cuts. It is about **clarity**. Program reviews helps us understand **what works**, **for whom**, and at **what cost**.



Program Placement Exercise
Understanding Program Cost and Impact



Step 1: As a team, work to place each program in one of the four quadrants of the COST/IMPACT Matrix

- Scale Up
- Prioritize/Refine
- Ignore
- Fix/Sunset

Step 2: Be prepared to discuss the following questions:

Guiding reflection:

- Which programs were easiest to place?
- Which were hardest — and what data do we still need?
- What surprised you about cost vs. outcomes?
- What principles did you use when judging alignment?

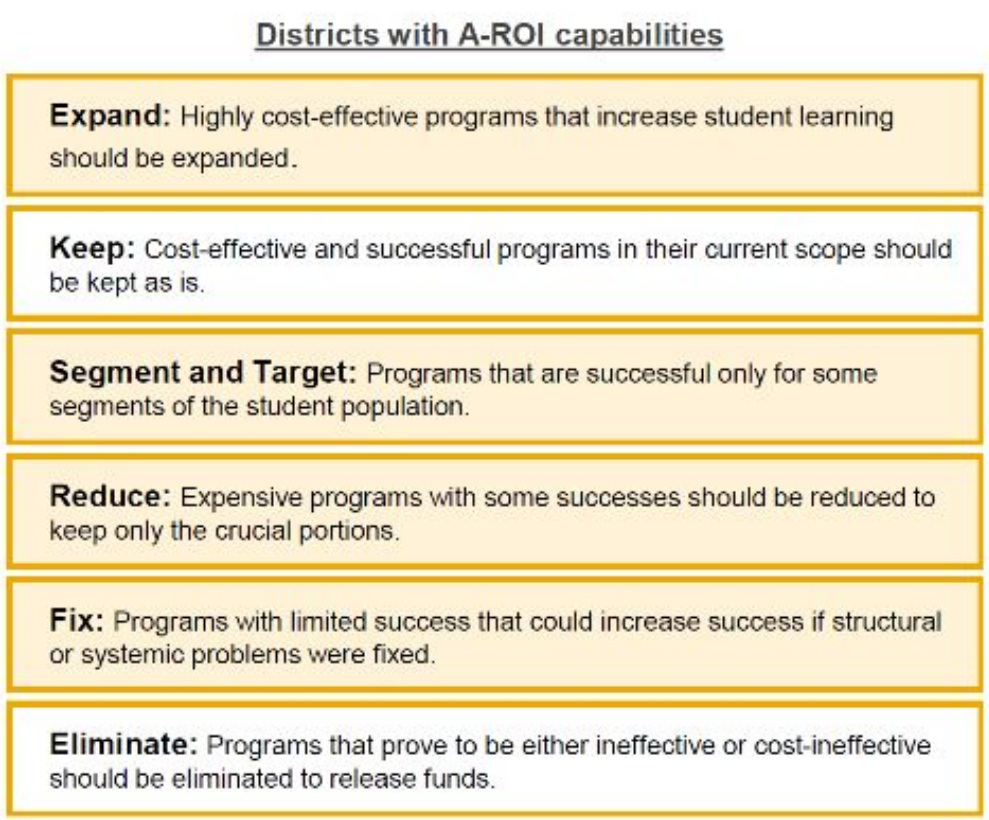
AROI Thinking in Practice

Program Review Focus Areas

Exceptional Children's Program

Mandarin Dual Language Program

AROI Thinking in Practice



Step 1: Tables respond to two prompts

- **Questions:**
  - What questions must the administration answer before pursuing this pathway?
- **Values:**
  - What values or principles should guide decisions about programs like these?

Step 2: Table Share-Out

- Each table shares *one or two key questions* and *one guiding value*
- Staff will capture themes as they emerge

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This is not about cuts. It is about **clarity**. Program reviews helps us understand **what works**, **for whom**, and at **what cost**.



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Questions?

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